

SECURITIES AND EXCHANGE COMMISSION

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Regulation NMS: Minimum Pricing Increments, Access Fees, and Transparency of Better Priced Orders

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission (“Commission” or “SEC”) is adopting amendments to certain rules of Regulation National Market System (“Regulation NMS”) under the Securities Exchange Act of 1934, as amended (“Exchange Act”) to amend the minimum pricing increments for the quoting of certain NMS stocks, reduce the access fee caps, and enhance the transparency of better priced orders.

DATES: *Effective Date:* [INSERT DATE 60 DAYS AFTER DATE OF PUBLICATION IN THE FEDERAL REGISTER]. *Compliance dates:* See section V., titled “Compliance Dates,” for further information on transitioning to the final rules.

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SUPPLEMENTARY INFORMATION: The Commission is adopting amendments to the following rules under Regulation NMS:

Commission Reference	CFR Citation (17 CFR)
Rule 600(b)(69)	§ 242.600(b)(69)
Rule 600(b)(89)	§ 242.600(b)(89)
Rule 600(b)(93)	§ 242.600(b)(93)
Rule 603	§ 242.603
Rule 610	§ 242.610
Rule 612	§ 242.612

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I. Introduction

Consistent with Congress’s directive almost 50 years ago to facilitate the establishment of a national market system,¹ the Commission is amending certain of its rules to respond to market developments since those rules were adopted, so that those rules continue to benefit investors and the markets. Specifically, the Commission is taking the following actions to continue to fulfill Congress’s directive and advance the objectives of investor protection and the maintenance of fair and orderly markets:

- Reduce Transaction Costs for Investors by Reducing Minimum Pricing Increments. The amendments will relax existing restrictions on market-wide minimum pricing increments (“tick sizes”), thus reducing transaction costs for investors and relaxing a constraint on price discovery for certain stocks.

The reduced tick size will benefit investors and market participants by: (i) allowing stocks to be priced more efficiently and competitively, therefore lowering costs for investors to trade in those stocks; and (ii) improving liquidity, competition, and price efficiency in the markets.

- Improve Market Quality for Investors by Reducing Access Fee Caps and Increasing Transparency. The amendments will reduce the maximum fees that trading centers (e.g., securities exchanges) are allowed to charge investors for execution against protected quotations (“access fee caps”). The amendments will also address the lack of transparency around the cost of a transaction at the time of a trade execution by requiring exchange fees and rebates to be determinable at the time of the execution.

The amendments will benefit investors and market participants by: (i) providing for access fee caps that accommodate the change in tick sizes; (ii) providing quotations that are more accurate and reflective of market forces; (iii) mitigating potential conflicts of interest between broker-dealers and their customers, where a broker-dealer is incentivized to route to the exchange offering the most favorable fees or rebates, which can lead to potentially worse execution quality for customers; (iv) reducing the complexity associated with the fees and rebates models; and (v) increasing the transparency of transaction fees and rebates.

¹ See PL 94-29 (S.249), June 4, 1975, Securities Acts Amendments of 1975 (“1975 Amendments”). See also 15 U.S.C. 78k-1.

- Improve Transparency to Investors about Better Priced Orders. The amendments will increase price transparency by accelerating the implementation of previously adopted definitions of “round lot” and “odd-lot information” and by adding a data element for the best odd-lot orders to buy and sell (“BOLO”) to the definition of “odd-lot information.”

These amendments will improve information available to investors and other market participants about better priced orders in smaller sizes that are available in the market.

In 1975, Congress explicitly granted the Commission “broad authority to oversee the implementation, operation, and regulation of the national market system” and the “clear responsibility to assure that the system develops and operates in accordance with Congressionally determined goals and objectives.”² The 1975 Amendments and section 11A of the Exchange Act set forth Congress’s findings regarding the nation’s securities markets and direct the Commission to facilitate the establishment of a national market system in accordance with specified Congressional findings and objectives.³

Since 1975, the Commission has regulated the national market system, adhering to the objectives of efficient, competitive, fair, and orderly markets that are in the public interest and protect investors, which are essential to meeting the investment needs of the public and reducing

² Senate Report on Securities Act Amendments of 1975, S. Rep. No. 94-75 at 8-9.

³ In particular, Congress found that it is in the public interest and appropriate for the protection of investors and maintenance of fair and orderly markets to assure five objectives: (1) economically efficient execution of transactions; (2) fair competition among brokers and dealers and among exchange markets, and between markets other than exchange markets; (3) the availability to brokers, dealers and investors of information with respect to quotations for and transactions in securities; (4) the practicability of brokers executing investors’ orders in the best market; and (5) an opportunity, consistent with items (1) and (4), for investors’ orders to be executed without the participation of a dealer. See 15 U.S.C. 78k-1(a)(1)(C). Congress also found that new data processing and communications techniques could create the opportunity for more efficient and effective market operations, and that “[t]he linking of all markets for qualified securities through communication and data processing facilities will foster efficiency, enhance competition, increase the information available to brokers, dealers, and investors, facilitate the offsetting of investors’ orders and contribute to the best execution of such orders.” See 15 U.S.C. 78k-1(a)(1)(B), (D).

the cost of capital for listed companies.⁴ The national market system is premised on promoting fair competition among markets, while at the same time assuring that all of these markets are linked together, through facilities and rules, in a unified system that promotes interaction among the orders of buyers and sellers in a particular NMS stock.⁵

In 2005, the Commission adopted Regulation NMS to modernize and strengthen the regulatory structure of U.S. equity markets, including requirements pursuant to which quotations and orders for NMS stocks, and the markets on which they trade, can compete. These requirements support the public interest and the protection of investors and help to ensure fair and orderly markets for the execution of orders in NMS stocks. Among other things, Regulation NMS provides explicit requirements for the tick sizes of quotations and orders,⁶ the means for market participants to access quotations in the national market system, including a cap on the highest permitted level of fees a trading center may charge for access to the best quotations of a

⁴ See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37497 (June 29, 2005) (“Regulation NMS Adopting Release”). In the nearly fifty years since the enactment of section 11A, the Commission has monitored the national market system and its operation and has periodically reviewed certain of its rules to address issues that have arisen in the markets with the goal of ensuring that the regulatory framework continues to fulfill the goals of section 11A. In each such case, the Commission has been guided by the objectives embodied in section 11A. The Commission also formed the Equity Market Structure Advisory Committee (“EMSAC”) in 2015 to provide diverse perspectives on the structure and operations of the U.S. equities markets, as well as advice and recommendations on matters related to equity market structure. The archives of these meetings are available at <https://www.sec.gov/spotlight/emsac/emsac-archives.htm> (“EMSAC Archives”).

⁵ See Regulation NMS Adopting Release, supra note 4, at 37498. “NMS stock” is defined under Regulation NMS as any NMS security other than an option. 17 CFR 242.600(b)(65). An “NMS security” is defined as any security or class of securities for which transaction reports are collected, processed, and made available pursuant to an effective transaction reporting plan, or an effective national market system plan for reporting transactions in listed options. 17 CFR 242.600(b)(64).

⁶ See Rule 612 of Regulation NMS; 17 CFR 242.612.

trading center,⁷ and how information about quotations and trades is made widely available to investors, among others.⁸

Nearly two decades later, the technology and economics of trading have evolved significantly. Transaction volume in listed equities doubled in the last five years and tripled in the last seventeen.⁹ Electronic trading now dominates equity markets, with latency measured in microseconds. These changes call for improvements to assure an efficient and transparent price discovery process, in order to continue to fulfill Congress’s directive and advance the objectives of investor protection and the maintenance of fair and orderly markets. However, some parts of Regulation NMS have not been revised since their 2005 adoption. Thus, the Commission is adopting the below described amendments to certain rules under Regulation NMS.¹⁰ The following subsections provide an overview of the amendments and the rationales for each.¹¹

⁷ See Rule 610 of Regulation NMS; 17 CFR 242.610.

⁸ See Rules 601, 602, and 603 of Regulation NMS; 17 CFR 242.601, 17 CFR 242.602, 17 CFR 242.603.

⁹ See Cboe, “Historical Market Volume Data,” available at
https://www.cboe.com/us/equities/market_statistics/historical_market_volume/.

¹⁰ The Commission has amended several aspects of Regulation NMS to address and reflect changes in the markets since its adoption. For example, in 2018, the Commission adopted new order handling disclosure requirements in Rule 606 in response to changes in equity market structure and order handling and routing practices. See Securities Exchange Act Release No. 84528 (Nov. 2, 2018), 83 FR 58338 (Nov. 19, 2018). In 2020, the Commission adopted rules to update the national market system for the collection, consolidation, and dissemination of equity market data in the national market system to keep pace with technological developments concerning the use of market data. See Securities Exchange Act Release No. 90610 (Dec. 9, 2020), 86 FR 18596 (Apr. 9, 2021) (“MDI Adopting Release”). More recently, responding to changes in market conditions caused by technological advancements and the increased participation of individual investors in the equity markets, the Commission adopted amendments to Rule 605 under Regulation NMS to update the disclosure of order execution quality statistics reports. See Securities Exchange Act Release No. 99679 (Mar. 6, 2024), 89 FR 26428, 26429 (Apr. 15, 2024) (“Rule 605 Amendments”) (adopting amendments to rule 605 under Regulation NMS to update reports on execution quality).

¹¹ See generally Securities Exchange Act Release No. 96494 (Dec. 14, 2022), 87 FR 80266 (Dec. 29, 2022) (“Proposing Release” or “Regulation NMS Proposal”).

A. Rule 612 Minimum Pricing Increments

1. Background

One way that investors can buy or sell a stock is through the use of limit orders, which are a type of order that specifies the price (“limit price”) at which the investor is willing to buy or sell a security.¹² Limit orders serve a critical market function by helping to set prices at which market participants are willing to trade, revealing the supply and demand for a security, and providing liquidity to the market. As such, limit orders play a key role in price discovery and allow investors to participate in the price-setting process.¹³

Recognizing the value of limit orders, the Commission adopted Rule 612 under Regulation NMS, which requires that the prices of quotations and orders in the national market system be reflected in a specified minimum pricing increment, also known as the “tick size.” Rule 612 required, for quotations and orders of NMS stocks priced at or greater than \$1.00 per

¹² Whether a limit order can be executed immediately depends on the limit price in relation to the current market price. For example, a buy order with a limit price of \$10.00 means the investor would like to buy as soon as possible, but only when the current market price is at \$10.00 or less. By contrast, a “market order” is a type of order by which the investor specifies that it wishes to buy or sell a security at the current market price, regardless of what the market price is. See generally, Securities Exchange Act Release No. 96495 (Dec. 14, 2022), 88 FR 128, 132-33 (Jan. 3, 2023); Regulation NMS Adopting Release, supra note 4, at 37505 n.53.

¹³ Limit orders may be “marketable” meaning that its specified price allows an immediate execution because it matches a contra-side order, or they may be “non-marketable” meaning that its specified price does not allow for an immediate execution and therefore it must wait until a contra-side order comes in to trade with it. Non-marketable limit orders that are submitted to an exchange are placed on the order book and, if displayable, the price and size will be displayed in the national market system if it is the best priced order to buy or sell for such exchange. The Commission has recognized displayed limit orders as “a critically important element of efficient price discovery.” See Regulation NMS Adopting Release, supra note 4, at 37517.

share, the minimum pricing increment to be \$0.01.¹⁴ As a result, subject to certain exceptions,¹⁵ the quotations and orders of such NMS stocks are priced in penny increments: \$10.00, \$10.01, \$10.02, for example.

The Commission adopted Rule 612 and minimum pricing increments to address the concern that a market participant could gain priority over existing limit orders by posting an economically insignificant price improvement.¹⁶ For example, consider a market participant that posts a limit order to buy an NMS stock at \$10.00 per share. Without minimum pricing increments, a second market participant could “step ahead” (also known as “pennying”) of the first market participant by posting a bid to buy at a price that is higher by an infinitesimally small amount, such as \$10.000001.¹⁷ This behavior disincentivizes market participants from posting a limit order in the first place because another market participant could always gain priority over that first price by posting a limit order that is better by an economically insignificant amount.¹⁸ This may lead to a decline in limit orders, harm liquidity, and make it more costly to trade.¹⁹

¹⁴ See preexisting 17 CFR 242.612(a). For quotations and orders of NMS stocks priced less than \$1.00 per share, Rule 612 required the minimum pricing increment to be \$0.0001. See preexisting 17 CFR 242.612(b). However, most exchanges require stocks listed on their exchanges to maintain a price greater than \$1.00 per share, and consequently \$0.01 is the prevailing tick size for most quotes and orders for NMS stocks. See *infra* section VII.C.1.a.

¹⁵ See *infra* section VII.C.1.a. (discussing retail liquidity programs).

¹⁶ When Rule 612 was adopted, the Commission stated that “[g]reater use of limit orders will increase price discovery and market depth and liquidity” and that “if orders lose execution priority because competing orders step ahead for an economically insignificant amount, liquidity could diminish.” See Regulation NMS Adopting Release, *supra* note 4, at 37505, 37553. The Commission was concerned that stepping ahead of displayed limit orders by insignificant amounts would deter the submission and display of limit orders, which would negatively impact price discovery and market depth and liquidity. See *id.* at 37553. See also *infra* section VII.A (discussing the importance of minimum pricing increments).

¹⁷ But with the minimum pricing increment of a penny, that same market participant would be required to post a bid of \$10.01 instead.

¹⁸ See *infra* sections VII.A, VII.B.2, and VII.D.1.

¹⁹ See *infra* sections VII.A, VII.B.2, and VII.D.1.b.i for additional analysis of pennyng.